partners. This is to compensate the partners who have provided the larger amounts of capital to the partnership and is relevant where the profit-sharing ratio is not in the same proportion to the capital balances, e.g. where one partner provides capital of R80 000 and the other provides R40 000 yet the profit-sharing ratio is 1:1.

TERMINOLOGY: PRIMARY AND SECONDARY DISTRIBUTION



Suggestion: Allow learners to design their own diagram using picture, drawings or words. They can staple this to their workbooks as a reminder of the two different distribution areas.

DEBIT BALANCES ON PARTNERS' CURRENT ACCOUNTS

It is possible that the current accounts of the partners could end up with debit balances after the closing transfers have been put through. There could be several reasons for this, e.g. a net loss has been made, or partners' drawings exceed their salary allowances, interest on capital and share of remaining profit. The debit balance may be regarded as the amount owed by the partner to the business. The debit balance is carried forward to the next accounting period when, hopefully, the position would be rectified if profits are earned or if drawings are decreased in the next accounting period.

REMAINING LOSSES

TASK 3.12 ☺ [LO 1; AS 1.2]

3.12.1/3.12.2 GENERAL JOURNAL OF GH STORES: 28 FEBRUARY 20.2 **GJ5**

No	D	Details	Fol	Debit	Credit	Debtors control		Creditors control	
						Debit	Credit	Debit	Credit
1	28	Salary: G. Grey	N8	120 000					
		Salary: B. Brown	N9	240 000					
		Current a/c: G. Grey	B3		120 000				
		Current a/c: B. Brown	B4		240 000				
		Annual salary allowance as per partnership agreement							
2		Interest on capital	N10	33 750					
		Current a/c: G. Grey	B3		22 500				
		Current a/c: B. Brown	B4		11 250				
		Provision for interest on capital at 15% p.a.							
		CLOSING TRANSFERS							
		Profit and loss account	F2	520 000					
		Appropriation account	F3		520 000				
		Transfer of net profit							
		Appropriation account	F3	393 750					
		Salary: G. Grey	N8		120 000				
		Salary: B. Brown	N9		240 000				
		Interest on capital	N10		33 750				
		Closing transfers							
		Appropriation account	F3	126 250					
		Current a/c:	B3		63 125				
		Current a/c:	B4		63 125				
		Net profit shared in profit sharing ratio							
		Current a/c: G. Grey	B3	96 000					
		Current a/c: B. Brown	B4	115 000					
		Drawings: G. Grey	B5		96 000				
		Drawings: B. Brown	B6		115 000				
		Transfer of drawings to current accounts							